



Bureau of Experts at the Council of Ministers
Official Translation Department

Law of Commercial Agencies

Royal Decree No. M/11
July 22, 1962

Translation of Saudi Laws

NOTES:

1. This translation is provided for guidance. The governing text is the Arabic text.
2. The translation of Saudi laws takes the following into consideration:
 - Words used in the singular form include the plural and vice versa.
 - Words used in the masculine form include the feminine.
 - Words used in the present tense include the present as well as the future.
 - The word “person” or “persons” and their related pronouns (he, his, him, they, their, them, and who) refer to a natural and legal person.
3. Amendments to this Law are provided in the Appendix.

For any comments or inquiries, please contact the Official Translation Department at:

otd@boe.gov.sa



Law of Commercial Agencies

Article 1

A non-Saudi natural or legal person may not be a commercial agent in the Kingdom. The capital of Saudi companies engaging in the activities of commercial agency must be fully owned by Saudis, and the members of the boards of directors and authorized signatories of such companies must be Saudis.

Article 2

Commercial agents to whom the provisions of Article 1 do not apply who are operating on the date of issuance of this Law shall be given a period not exceeding two years from the date this Law enters into force to liquidate and transfer their businesses to Saudi commercial agents. The Minister of Commerce and Industry shall determine such period for each agent on a case-by-case basis, taking into consideration the time required for liquidation, the nature of the business, and the abovementioned period.

Article 3

A person may not operate as a commercial agent unless he is registered in the relevant register at the Ministry of Commerce and Industry. Said register shall be established pursuant to a decision by the Minister of Commerce and Industry, and shall include the name of the merchant or company, type of goods, name of the authorizing company or establishment, date of authorization, and, if specified, the term of authorization. Registration applications shall be submitted together with supporting documents to the Deputy Minister of Commerce and Industry. Only applications submitted by non-Saudis or Saudis who are barred from engaging in commercial activities and are unqualified to do so may be rejected. Any person whose application is rejected may file an appeal with the Minister of Commerce and Industry.



Article 4

Any person engaging in the activities of commercial agency in violation of the provisions of this Law shall be subject to a fine of not less than one thousand riyals and not more than five thousand riyals. If the violation is committed by a foreigner or by a Saudi company with one or more non-Saudi partners, the fine shall be coupled with the administrative liquidation of the commercial agency, and the violator may also be permanently or temporarily barred from engaging in commercial activities. The Minister of Interior may, upon a recommendation from the Minister of Commerce and Industry, order the deportation of the foreigner.

Article 5

The fees for registration in the Agencies Register shall be as follows:

- Fifty riyals for an individual merchant.
- One hundred riyals for a company.

The fees shall be paid once.

Article 6

This Law shall enter into force three months after the date of its publication.



Appendix

Amendments

August 25, 1969 (Jumada II 11, 1389H)

Royal Decree No. M/5 provides for the following:

- Adding the following paragraphs:

- "1. A committee comprising three members shall be formed at the Ministry of Commerce and Industry pursuant to a decision by the Minister of Commerce and Industry to impose the penalties provided for in the Law of Commercial Agencies and the Law of Calibration and Measurement.
2. Committee decisions may be appealed before the Minister of Commerce and Industry within 15 days from the date the aggrieved party, or his representative, is notified thereof. Otherwise, such decisions shall become final upon the lapse of such period and the approval of the Minister of Commerce and Industry thereof".

April 24, 1973 (Rabi' I 20, 1393H)

Royal Decree No. M/8 provides for the following:

- Amending the fees for registration in the Agencies Register provided for in Article 5 to be five hundred riyals for individual merchants and companies.



June 23, 1980 (Sha'ban 10, 1400H)

Royal Decree No. M/32 provides for the following:

- Amending Article 4 to read as follows:

"Any person who violates the provisions of this Law and its Implementing Regulations shall be subject to a fine of not less than five thousand riyals and not more than fifty thousand riyals as well as publication of the penalty decision at the violator's expense, without prejudice to the right of any person who sustains harm as a result of the violation to claim compensation. If the violation is committed by a foreigner or a Saudi company with one or more non-Saudi partners, the fine shall be coupled with the administrative liquidation of the business, and the violator may permanently or temporarily be barred from engaging in commercial activities. In such case, the Ministry of Commerce shall notify the Minister of Interior of the violating foreigner or non-Saudi partner, and the Minister of Interior may order the deportation thereof".

- Adding the following articles to read as follows:

"Article 1

Without prejudice to any other law, the Law of Commercial Agencies issued by Royal Decree No. 11, dated 20/2/1382H, and its amendments shall apply to any person who concludes a contract with the producer, or his representative, in his country to engage in commercial activities, whether as an agent or a distributor, in any form of agency or distributorship.

Article 2

Without prejudice to any laws and decisions pertaining to the provision of spare parts and maintenance, the agent and distributor shall carry out the following:

- a) Provide in stock, for the products subject of the agency contract, high-demand spare parts, and provide, within a reasonable period, any other spare parts, in accordance with the Implementing Regulations.
- b) Provide the necessary maintenance, guarantee product quality, and comply with the terms and conditions of producers throughout the duration of the agency and for an additional year following the date of its expiration or the date of the appointment of a new agent, whichever occurs first, in accordance with the Implementing Regulations.



Article 3

The Implementing Regulations of the Law of Commercial Agencies shall be issued by the Minister of Commerce and published in the Official Gazette.

Article 4

The Ministry of Commerce shall prepare model contracts for agents and distributors. Such contracts shall contain all the basic elements of a contract, including the parties, subject matter, term, territory, and terms for renewal and termination as well as the parties' obligations *vis-à-vis* each other and *vis-à-vis* consumers especially with regards to the provision of maintenance and spare parts".